

(CHP : 12)

Economy :-

"An economy is an area of the production, distribution and trade, as well as consumptions of goods and services."

Role and function of economy :-

The role and function of economy can be summarized as follows:

Resources :- Economy allocates resources efficiently to produce goods and services. Resources include labor, capital and raw material.

Production of Goods :- Economy produces goods and services to meet consumer demands. Production involves creating value-added products.

distribution :-

Income and Wealth :- Economy distributes income and wealth among individuals and groups. Fair distribution promotes social equality.

Social Welfare :-

Economy aims to promote social welfare through employment, education, health care. Social welfare enhances over all well being.

Economic Stability and growth :-

Economy strives for stability and growth through monetary and fiscal policies.

Economy and Development :-

Sustainability :- Meeting present needs with out compromissing future generation's ability to meet their own needs.

Social Development :- Improving quality of life through education, healthcare and social welfare.

Infrastructure Development :- Building and maintaining physical structures like roads, bridges, and public facilities.

Human Capital Development :- Investing in education, skills, and Health care

to enhance productivity.

Economic growth Increase in production of goods and services, often measured by GDP growth.

Structure transformation :- Shifting economic structure to drive growth, innovation, and competitiveness.

These are interconnected and crucial for sustainable development and economic prosperity.

Economic and Social Inequality :-

“Economic and social inequality refers to the unequal distribution of economic resources, such as income, wealth, and opportunity among individuals and group within a society.”

→ Differences in earnings and salaries
Unequal distribution of economic resources
such as assets, property and investments.

- limited access to quality education and employment.
- Tax policies that disproportionately affect certain groups.
- limited access to loans, savings and other financial issues.
- Wealth concentrated in the hands of few individuals or corporations.
- Unequal treatment due to racial or ethnic background.
- limited access to resources and opportunities.
- Unequal treatment based on religious beliefs and practices.
- Unequal access to health care services.

Inequality can lead to violations of human rights.

Addressing Inequality:

- ➔ Governments can implement policies to reduce inequality.
- ➔ Raising awareness about inequality can promote understanding and empathy.
- ➔ Empowering marginalized group can help to reduce inequality.
- ➔ Ensuring equal access to essential services.
- ➔ Programs that provide jobs skills and employment opportunity.
- ➔ Frame works that promote community development and social cohesion.
- ➔ Government structure that involves marginalized groups in decision making process.
- ➔ Tax policies that redistribute wealth and income.

Conclusion :-

In conclusion, economy plays a vital role in shaping the development of society. Economic

growth and development can bring numerous benefits, including increased prosperity, improved living standards and enhanced opportunities and individuals and communities. However, economic inequality can hinder these benefits, leading to social and economic disparities.
